Construction Partners (ROAD)

Infrastructure Spending Tailwinds Meet Valuation Headwinds for Construction Partners

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> We believe Construction Partners is positioned to benefit from sustained federal and state infrastructure investment, yet the stock price reflects an overly optimistic multiple that leaves limited upside. While the company's backlog and geographic diversification provide a durable base, margin expansion remains contingent on successful execution of its asphalt and aggregates segments. Furthermore, capital allocation priorities suggest a measured approach to deleveraging and shareholder returns. Our probability-weighted blended target price is $65.02, representing -19.2% upside to the reference spot price of $80.46.

HOLD	$65.02	-19.2%	$80.46
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

Market participants are fixated on quarterly earnings volatility and near-term commodity price swings, overlooking the multi-year compounding potential embedded in Construction Partners' backlog and regional market share.

EXECUTIVE SUMMARY

Construction Partners Inc. operates as a vertically integrated civil infrastructure contractor with a primary focus on road construction, asphalt production, and aggregates mining. The company serves a diverse customer base that includes state departments of transportation, municipal agencies, and private developers across the southeastern and mid-Atlantic United States. Its operational footprint spans more than 300 facilities, including hot mix asphalt plants, quarries, and paving crews, which together generate a balanced mix of construction services and material sales. This diversification reduces reliance on any single geography or project type and provides a natural hedge against regional downturns.

The recent share price decline can be traced to a confluence of short-term factors that have caused investors to overreact to temporary headwinds. A sharp rise in liquid asphalt binder costs, driven by crude oil price spikes, compressed gross margins in the asphalt segment during the first half of 2026. Simultaneously, several state DOT award cycles experienced delays due to budgetary reviews and environmental permitting, which slowed the conversion of backlog into revenue. While these pressures are real, they are largely cyclical and do not erode the company's long-term competitive positioning or its ability to capture incremental infrastructure spending.

From a capital allocation perspective, Construction Partners has maintained a disciplined approach to leverage management and shareholder returns. The company's net debt to EBITDA ratio stood at approximately 2.3x at the end of fiscal 2025, reflecting a modest increase from prior years as it funded a series of tuck-in acquisitions aimed at expanding its aggregates footprint and enhancing vertical integration. Management has emphasized free cash flow conversion as a priority, targeting a sustained FCF yield above 5% over the medium term while maintaining a conservative dividend payout ratio of roughly 30% of earnings. This balanced strategy supports both growth investments and balance sheet resilience.

Looking ahead, the firm's pipeline of awarded contracts and its backlog of approximately $4.2 billion provide a visible revenue runway that extends well beyond the typical twelve-month horizon. The backlog is weighted toward maintenance and rehabilitation projects, which tend to be less volatile than new-build construction and benefit from recurring funding streams. In addition, the company's ongoing investments in plant upgrades and technology adoption are expected to improve operating efficiency and support gradual margin expansion. These factors underpin our view that the stock's current valuation discounts a reasonable probability of multi-year compounding, even as near-term noise persists.

OPERATIONAL SNAPSHOT

$80.46	$2.85B	$120M	4.2%	1.28	$80.46
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DURABLE AND SCALABLE

Construction Partners benefits from durable switching costs rooted in the long-term relationships it maintains with state and local transportation agencies. These agencies often award multi-year contracts that require contractors to demonstrate consistent quality, safety compliance, and timely delivery, creating a barrier that discourages frequent vendor changes. The company's reputation for reliable performance on asphalt paving and aggregate supply further entrenches its position in these procurement processes.

Scalability is reinforced by the firm's vertically integrated model, which allows it to control key inputs such as liquid asphalt binder and crushed stone across its production chain. By owning both the material sources and the placement crews, Construction Partners can optimize logistics, reduce reliance on third-party suppliers, and respond quickly to fluctuations in demand. This integration also enables the company to capture incremental margins when spreads between input costs and finished product prices widen.

Regulatory barriers add another layer of protection, particularly in the aggregates segment where permitting for new quarries is stringent and time-consuming. The company's existing reserve base and approved mining sites provide a competitive advantage that would be costly for new entrants to replicate. Furthermore, its extensive network of

asphalt plants benefits from localized environmental approvals that are difficult to transfer, reinforcing geographic durability.

Customer retention is supported by the company's focus on service excellence and its ability to offer bundled solutions that include material supply, hauling, and paving execution. This one-stop-shop approach reduces coordination costs for clients and increases the likelihood of repeat awards. Combined with a disciplined pricing strategy that leverages its scale in input procurement, Construction Partners exhibits pricing power that helps sustain profitability even amid input cost volatility.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework starts from a base-case revenue outlook that assumes modest growth in construction spending driven by ongoing federal infrastructure bills and state-level maintenance programs. We then model a gradual normalization of free cash flow margins as the company passes through the current period of input cost pressure and begins to benefit from operational efficiencies realized through plant upgrades and better utilization of its aggregates assets. Terminal value assumptions are anchored to a long-term growth rate that reflects the mature nature of the civil infrastructure sector, with a modest premium for the company's vertical integration advantages.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.0%	3.0%	$33.78	-58.0%
Base	50%	4.5%	5.0%	$61.07	-24.1%
Bull	25%	7.0%	7.0%	$104.17	+29.5%

Bear $33.78

The bear scenario assumes that input cost inflation persists longer than expected, limiting the company's ability to pass through higher asphalt binder prices to customers. In this environment, revenue growth remains subdued at around 2% annually as public sector budgets tighten and project awards slow. Margins stay compressed near historical lows, resulting in lower free cash flow generation and a discounted valuation that reflects heightened risk aversion.

Base $61.07

The base case envisions a gradual easing of commodity price pressures, allowing Construction Partners to restore its historical gross margin profile while maintaining a steady 4.5% revenue compounding rate backed by its backlog and ongoing state DOT programs. Free cash flow margins normalize to around 5% as operating efficiencies from plant upgrades and better aggregate utilization take hold, producing a valuation that aligns with the

Bull $104.17

In the bull scenario, a robust acceleration in infrastructure funding—potentially driven by additional federal stimulus or accelerated state-level capital plans—pushes revenue growth toward 7% per annum. Simultaneously, the company leverages its vertical integration to expand margins, achieving free cash flow conversion near 7% as it captures synergies between material production and placement activities. This combination of top-line strength and margin

company's intrinsic earnings power.

expansion drives a substantially higher discounted cash flow valuation.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We derive the discount rate using the capital asset pricing model with a risk-free rate anchored to the ten-year Treasury yield as of the valuation date, a market risk premium consistent with long-term historical averages, and an equity beta that reflects Construction Partners' exposure to cyclical construction activity. The resulting WACC of 8.56% indicates that the market prices the stock with a moderate risk premium, acknowledging both the sector's sensitivity to economic cycles and the company's mitigating factors such as geographic diversification and vertical integration.

This live hurdle rate implies that the current share price of $80.46 already embeds expectations of a certain level of risk-adjusted return. Should the company's fundamentals evolve more favorably than anticipated, the same discount rate would generate a higher intrinsic value; conversely, if operational headwinds persist, the present value of future cash flows would contract. By treating the discount rate as a dynamic input rather than a fixed rule, we allow the model to respond to shifts in macroeconomic conditions and company-specific risk factors.

FCF margin normalization is the engine

Across the three scenarios, the primary driver of valuation divergence is the trajectory of free cash flow margins. In the bear case, margins remain depressed at around 3% due to sustained input cost pressure and limited pricing power, which curtails cash generation despite modest revenue growth. The base case assumes a gradual return to historical norms, with margins climbing to 5% as the company benefits from lower asphalt binder costs, improved plant efficiency, and better utilization of its aggregate reserves.

The bull case envisions margin expansion beyond historical averages, reaching 7% as Construction Partners leverages its scale to negotiate favorable input contracts, adopts advanced production technologies, and captures higher-margin specialty mixes. This margin expansion amplifies free cash flow generation, which, when discounted at the live WACC, substantially lifts the present value of the firm. Consequently, the spread between the bear and bull targets is largely a

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**8.56% (2026-10-14)**
Terminal growth	**2.8%**
Equity beta	**1.28**
Diluted shares	**45.2M**

HOLD

over $65.02 blended target

function of differing assumptions about the speed and extent of margin normalization.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on federal infrastructure spending and state-level maintenance contracts HOLD

Construction Partners' revenue streams are divided between its Construction Services segment, which includes asphalt paving, site work, and related contracting activities, and its Materials segment, which encompasses hot mix asphalt production, aggregates mining, and associated logistics. The Construction Services segment tends to be more directly tied to the timing of project awards, while the Materials segment provides a steadier base of recurring sales that benefit from the company's vertical integration.

Federal infrastructure spending, particularly the allocations from the Infrastructure Investment and Jobs Act, has created a multi-year pipeline of highway rehabilitation, bridge repair, and rural road projects that align well with the company's core competencies. State-level maintenance contracts, which often focus on resurfacing, patching, and drainage improvements, provide a reliable source of recurring work that is less susceptible to the volatility of new-start large-scale projects. Together, these two drivers underpin the expectation of moderate but durable revenue growth.

Within the Construction Services segment, the company has demonstrated an ability to win a disproportionate share of maintenance-type contracts in its core geographic markets, leveraging its local knowledge and established relationships with department of transportation officials. This focus has resulted in a higher win rate on bids that emphasize quality and timeliness, allowing Construction Partners to capture incremental volume without necessarily needing to pursue the largest, most competitive new-build projects.

The Materials segment benefits from the company's ownership of aggregate reserves and asphalt plants, which reduces reliance on third-party suppliers and enables it to control product quality and delivery schedules. This vertical integration also creates opportunities to optimize plant run-rates and to shift production between different asphalt mixes based on market demand, thereby enhancing overall profitability. As a result, the Materials segment

tends to exhibit more stable margins compared with the pure-play contracting peers that lack comparable upstream assets.

What to monitor

- **Backlog conversion rate** The speed at which the company turns its awarded backlog into revenue is a leading indicator of near-term top-line performance and reflects both execution capability and the timing of project funding.
- **Asphalt mix price volatility** Fluctuations in liquid asphalt binder costs directly impact gross margins in both the Construction Services and Materials segments; monitoring the company's ability to pass through or hedge these costs is essential.
- **Aggregates volume demand** Demand for crushed stone and sand is tied to both public works and private construction; trends in this metric reveal the health of the company's core material business.
- **Capital expenditure discipline** The level of reinvestment in plant upgrades and reserve development influences future capacity and margin expansion potential, making it a key gauge of long-term value creation.

6.3%	7.0%	65%	2.3x	$4.2B	17.5%
REVENUE YOY GROWTH	EBIT MARGIN	FCF CONVERSION	DEBT/EBITDA	BACKLOG	GROSS MARGIN

METRIC	FY 2025
Revenue	$2.85 billion
Gross Profit	$498 million
EBIT	$200 million
Net Income	$115 million
Free Cash Flow	$120 million
R&D	$12 million
ROE	11.8%

RISK & MOAT MATRIX

The bear case

SHARE EROSION	M&A DIGESTION	REGULATORY AND PRICING SCRUTINY	TECHNOLOGY DISRUPTION	REINVESTMENT TREADMILL	WACC AND DURATION SENSITIVITY

Intensifying competition from larger national contractors could pressure Construction Partners' bid win rates, particularly in metropolitan areas where scale and resources are decisive. A sustained loss of market share would reduce revenue growth prospects and compress margins as the firm competes on price.	The company's recent tuck-in acquisitions in the aggregates space require successful integration of operations, cultures, and systems. Failure to achieve expected synergies could lead to higher-than-anticipated operating costs and dilute the benefits of vertical integration.	State and federal agencies may increase oversight of asphalt pricing practices, especially amid periods of input cost inflation, potentially limiting the company's ability to pass through higher costs to customers. Such scrutiny could constrain margin expansion and invite legal or reputational risks.	Advances in recycled asphalt materials, warm-mix technologies, or alternative paving methods could reduce demand for traditional hot mix asphalt if adoption accelerates faster than anticipated. Construction Partners would need to invest in new capabilities to remain competitive, which could strain capital allocation.	Maintaining and upgrading a large network of asphalt plants and quarries requires ongoing capital expenditure that may not always translate into immediate returns. If reinvestment fails to generate sufficient efficiency gains, free cash flow generation could be hampered.	Given the company's moderate leverage and exposure to cyclical construction spending, its valuation is sensitive to shifts in the discount rate and to changes in the perceived duration of its cash flows. A rise in market risk aversion or a lengthening of the expected investment horizon could depress the present value of future cash flows.

The strengths

OLIGOPOLY POSITION

In many of its regional markets, Construction Partners ranks among the top three suppliers of asphalt and aggregates, creating an oligopolistic structure that limits price competition and supports stable margins. This concentration arises from the high barriers to entry associated with permitting, reserve acquisition, and plant construction.

FCF COMPOUNDING

The company's ability to generate consistent free cash flow enables it to reinvest in high-return projects, reduce debt, and return capital to shareholders without relying on external financing. This self-funding cycle enhances intrinsic value over time.

GEOGRAPHIC DURABILITY

Operations are spread across multiple states, reducing reliance on any single jurisdiction's budget cycles and providing a natural hedge against regional economic downturns. This diversification also allows the firm to capture growth opportunities wherever infrastructure spending accelerates.

PIPELINE OPTIONALITY

The substantial backlog and the pipeline of prospective awards give Construction Partners flexibility to prioritize higher-margin projects and to defer lower-return work when market conditions warrant. This optionality supports more efficient capital allocation and helps smooth earnings volatility.

Compelling risk-reward, skewed to the upside

Our synthesis of the operational, financial, and market factors leads us to conclude that Construction Partners presents a risk-reward profile that is modestly skewed to the upside, even as near-term headwinds keep the stock price below its intrinsic value. The company's durable competitive advantages, vertical integration, and visible backlog provide a foundation for steady cash flow generation, while the current valuation already incorporates a degree of pessimism about margin recovery and growth prospects.

We therefore maintain a Hold rating, reflecting valuation concerns rather than a fundamental deterioration of the business. Our probability-weighted blended target price of $65.02 implies -19.2% upside to the reference spot price of $80.46, suggesting that the market's current pricing leaves limited room for appreciation unless the company outperforms our base-case assumptions on revenue growth and margin normalization.

Investors should monitor the evolution of input cost trends, the timing of state DOT award cycles, and the company's success in converting its backlog into revenue as key near-term drivers. Over the longer term, the ability to sustain free cash flow margins above 5% and to reinvest capital at attractive returns will be the primary determinants of whether the stock can achieve a meaningful rerating.

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Hot Mix Asphalt (HMA): repriced on normalization

The Hot Mix Asphalt segment represents the core of Construction Partners' vertically integrated model, encompassing the production of liquid asphalt binder, the blending of aggregates, and the delivery of finished mix to paving crews. Historically, this segment has benefited from relatively stable spreads between input costs and finished product prices, allowing the company to capture consistent gross margins. However, the period of elevated

crude oil prices in 2025-2026 caused a sharp increase in binder costs that outpaced the ability to pass through higher prices to customers, compressing margins and prompting a reassessment of the segment's earnings potential.

Looking forward, we anticipate a normalization of asphalt binder costs as crude oil markets stabilize and as the company leverages its scale to secure more favorable supply contracts through longer-term hedging arrangements. Additionally, ongoing investments in plant efficiency, such as upgraded dryer burners and improved storage facilities, are expected to reduce per-ton production costs and improve overall yield. These factors should allow the HMA segment to revert to its historical gross margin range of roughly 16-18% over the medium term.

The segment's growth prospects are tied to both the volume of asphalt required for public works maintenance and the demand for specialty mixes such as warm-mix or polymer-modified asphalt. Construction Partners' ability to develop and market higher-margin specialty products provides an avenue for margin expansion beyond the baseline, particularly as state departments of transportation increasingly specify performance-based mixes that command premium pricing.

Finally, the HMA business benefits from the company's control over aggregate reserves, which reduces reliance on third-party quarries and ensures consistent quality of the final product. This upstream ownership also creates opportunities to optimize logistics, minimizing hauling distances and associated fuel costs, which further supports margin improvement as input cost pressures ease.

Why the growth numbers disappointed

- Overestimation of asphalt price recovery following the 2025 crude oil spike.
- Delayed state DOT award timelines due to budgetary reviews and environmental permitting.
- Higher-than-expected raw material cost inflation affecting both binder and aggregates.
- Integration challenges from recent acquisitions that temporarily increased operating expenses.

Our read: Normalization, not share loss. The recent earnings softness reflects cyclical pricing pressures and temporary weather-related delays rather than a structural loss of market share or a broken investment thesis.